

NATURAL GAS ANALYST

Slower Hormuz Export Ramp Leads Us to Raise Our Near-Term TTF Forecast

- As uncertainty in the Middle East remains high, we now assume a further delayed normalization of Persian Gulf LNG exports (Oct26, vs Jul26 prev.). The resulting tightening of European gas balances, and in particular Europe's increased vulnerability to a cold shock in the winter, raises the risk that TTF might need to rise to 65 EUR/MWh, the threshold that we have observed disincentivizes Asian LNG demand more visibly, heading into the winter. As a result, we see TTF approaching this threshold and sustaining such elevated prices in the coming months, and we raise our Bal3Q26/4Q26 TTF forecasts to 60/53 EUR/MWh from 41/40 EUR, close to forwards currently at 58/57 EUR/MWh.
- Risks to our near-term TTF forecast remain skewed to the upside and we continue to recommend that gas users hedge their exposure to winter European gas and LNG price spikes. Specifically, in a scenario where Middle East energy exports normalize only gradually through 2027, we estimate that Dec26 TTF would likely need to move above 100 EUR/MWh, 110% above our 50 EUR/MWh base case, to discourage Asia LNG demand. In contrast, we estimate that a faster-than-expected ramp of Hormuz flows would allow TTF to sell off back in line with the coal-to-gas switching threshold of 40 EUR/MWh, 20% below our current Dec26 TTF price base case.
- Longer term, we maintain our bearish 2028/29 TTF view at 19/16 EUR/MWh (vs forwards at 29/25) - although it is important to emphasize that Hormuz being fully open for shipping is a key underlying assumption of our view. Further out in the forecast horizon, we see risks to this price view skewed to the downside. Recent FIDs of new US LNG export projects signal a larger and longer-lasting LNG oversupply vs what we already embed in our balances. In addition, a potential pick up in coal and renewable generation in the aftermath of the Iran conflict might reduce Asia's appetite for natural gas demand in the coming years vs our base case.

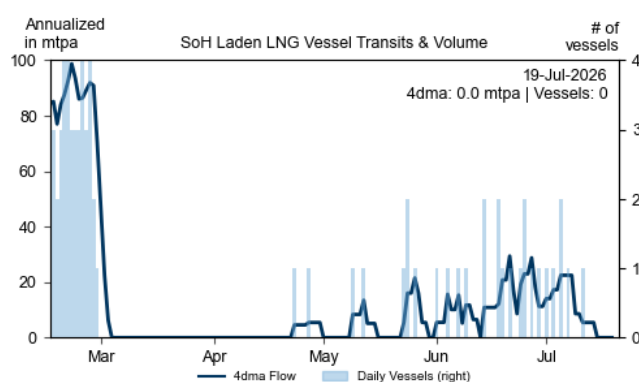
Samantha Dart
+1(212)357-9428 |
samantha.dart@gs.com
Goldman Sachs & Co. LLC

Laura Cyr
+1(212)902-3435 | laura.x.cyr@gs.com
Goldman Sachs & Co. LLC

Slower Hormuz Export Ramp Leads Us to Raise Our Near-Term TTF Forecast

Following the recent escalation in hostilities in the Middle East, we now assume a later normalization of Persian Gulf LNG exports (Oct26) vs previously (Jul26) ([Exhibit 1](#) and [Exhibit 2](#)). We estimate that this net 16 mtpa (4%) reduction in balance-of-summer global LNG supply will leave North West Europe end-Oct26 (start of winter) gas storage near 67% full (vs our previous expectations of 74%) and end-Mar27 (end of winter) at 28% full, assuming 10-year average temperatures through the season ([Exhibit 3](#) and [Exhibit 4](#)). Importantly, these estimates already take into account a marginal 4 mtpa downward revision to our average Asia demand expectations for the remainder of summer to 262 mtpa owing to higher LNG prices.

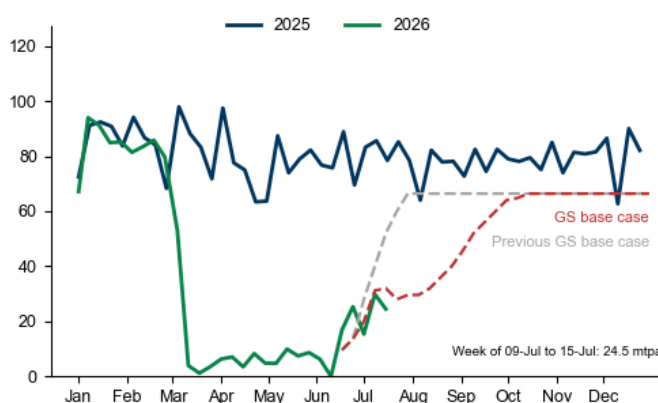
Exhibit 1: Visible LNG exports via the Strait of Hormuz have halted...



Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 2: ...leading us to assume a slower ramp of Qatari LNG exports

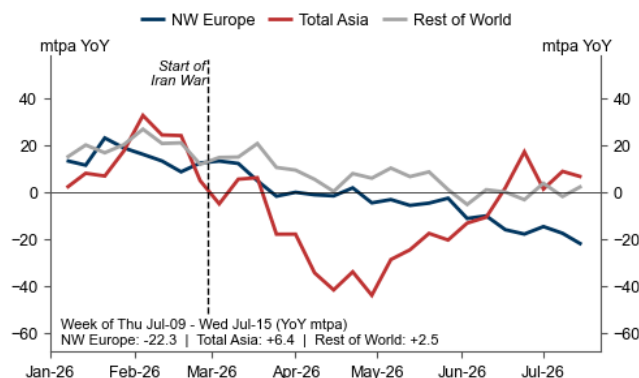
Qatar LNG loadings (weekly), mtpa



Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 3: With Asia LNG demand back up yoy, at least during peak summer...

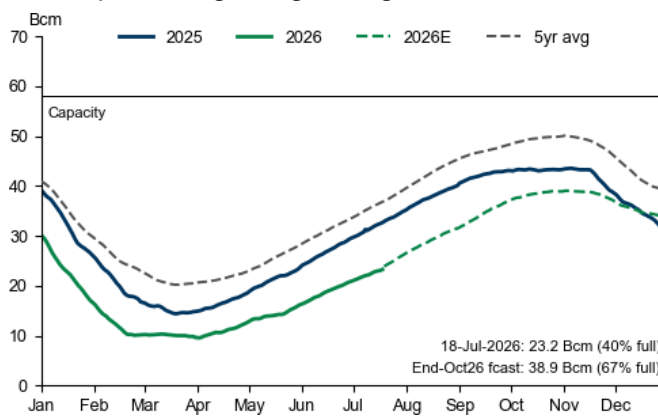
Global LNG net imports (4wma)



Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 4: ...NW Europe will stay tight, with end-summer storage likely the lowest in at least 14 years

NW European underground gas storage



Includes the UK, Belgium, France, Netherlands and Germany.

Source: Bloomberg, Goldman Sachs Global Investment Research

To be clear, ending winter at 28% full is not an issue. The issue might arise if 28% full is the storage estimate assuming average winter weather, and winter ends up being significantly colder than average. Specifically, we estimate that a two-standard-deviation colder-than-average winter typically raises gas demand enough to lower end-winter storage fill by 24 pp.

With our estimated tightness in winter gas balances in Europe leaving little room for error, we expect that, for the remainder of this summer, TTF will price very close to the 65 EUR/MWh threshold (or above, for a bigger tightening shock) that we think destroys Asia industrial demand for gas more visibly. Once winter starts to materialize, from November, barring a colder-than-average shock, we expect that the TTF risk premium will gradually moderate. On net, this leads us to raise our Bal3Q26/4Q26/2027 TTF forecasts to 60/53/31 EUR/MWh from 41/40/30 EUR.

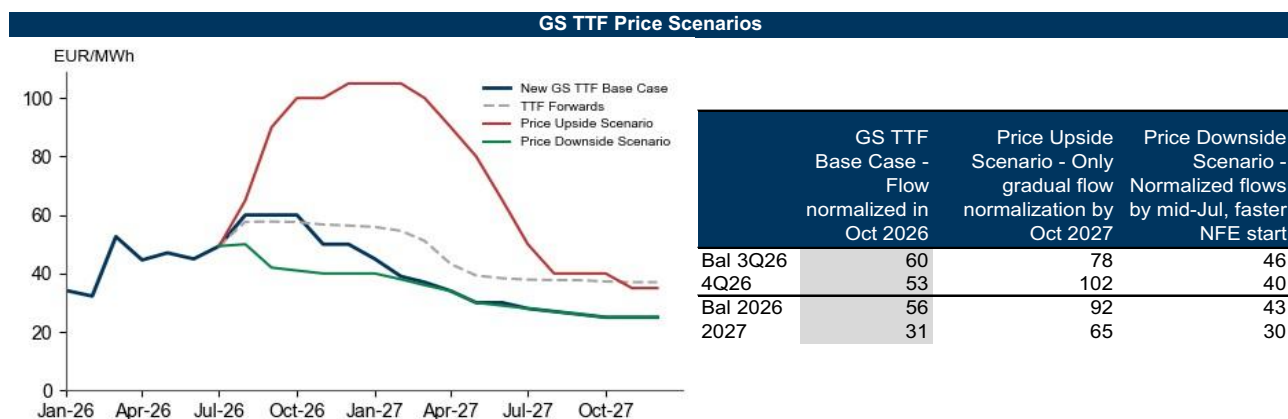
Risks to Our Near-Term TTF Forecast Remain Skewed to The Upside...

In a scenario where Middle East energy exports normalize only gradually through 2027, we estimate that Dec26 TTF would likely need to move above 100 EUR/MWh (\$35/mmBtu), 110% above our 50 EUR/MWh base case, to discourage Asia LNG demand and manage European gas storage levels away from a stockout¹. Importantly, this upside to prices assumes 10-year average weather. Under a colder-than-average winter, TTF would likely spike significantly more to destroy further demand and limit the weather-driven incremental drawdown in gas storage.

In contrast, we estimate that a faster-than-expected ramp of Hormuz flows would allow TTF to sell off back in line with the gas-to-coal switching threshold of 40 EUR/MWh, 20% below our current Dec26 TTF price base case. A warmer-than-average winter would likely remove the need for gas-to-coal switching, and hence the 40 EUR/MWh TTF floor, potentially bringing forward the 30 EUR/MWh type of price we expect to see on average in 2027.

As a result, we continue to recommend that gas users hedge their exposure to winter European gas and LNG price spikes ([Exhibit 5](#)).

Exhibit 5: Risks to our near-term TTF forecasts remain skewed to the upside



Forwards as of July 17th.

Source: ICE, Goldman Sachs Global Investment Research

...While Risks to Our Bearish Long-Term TTF view Are Skewed to The Downside

Longer term, we maintain our bearish 2028/29 TTF view at 19/16 EUR/MWh (vs forwards at 29/25) - although it's important to emphasize that Hormuz being fully open

¹ While the data is noisy, looking at Asia LNG demand sensitivity to price suggests it takes a 100% yoy increase in the JKM prices to trigger a 3% yoy decline in Asia LNG demand. In the case of this balance of summer, this would imply JKM prices in the mid-\$30s/mmBtu to help lower Asia demand enough to balance European winter storage.

for shipping is a key underlying assumption of our view.

Further, we see risks to this view skewed to the downside. Recent FIDs of new US LNG export projects signal a larger and longer-lasting LNG oversupply vs what we already embed in our balances. In addition, a potential pick up in coal and renewable generation in the aftermath of the Iran conflict might reduce Asia's appetite for natural gas demand in the coming years vs our base case.

Appendix

Exhibit 6: We raise our near-term TTF and JKM forecasts

TTF and JKM GS forecasts vs forwards

	GS TTF			GS TTF			GS JKM		
	fcast.		TTF fwrds.	fcast. TTF			fcast.		JKM fwrds
	(EUR/MWh)	Previous	(EUR/MWh)	(\$/mmBtu)	Previous		(\$/mmBtu)	Previous	(\$/mmBtu)
Bal 3Q26	60	41	58	20.15	13.95		21.65	15.45	20.90
4Q26	53	40	57	17.90	13.75		18.90	14.75	20.20
1Q27	40	38	54	13.55	12.95		14.40	13.80	18.50
2Q27	31	31	40	10.55	10.55		11.30	11.30	14.00
3Q27	27	27	38	9.05	9.20		9.80	9.95	13.45
4Q27	25	25	37	8.40	8.50		9.15	9.25	13.30
Bal 2026	56	41	57	18.80	13.85		20.00	15.05	20.50
2027	31	30	42	10.40	10.30		11.15	11.10	14.80
2028	19	19	29	6.40	6.50		6.80	6.90	10.55
2029	16	16	25	5.45	5.50		5.65	5.70	9.20
2030	20	20	23	6.65	6.75		6.90	7.00	8.65
2031	21	21	23	7.05	7.15		7.35	7.45	8.85
2032	21	21	23	7.05	7.15		7.50	7.60	9.05
2033	32	32	24	10.75	10.90		11.35	11.50	9.30
2034	42	42	24	14.10	14.30		15.20	15.40	9.60
2035	42	42	25	14.10	14.30		15.30	15.50	9.90

Forwards as of July 17th. Our TTF forecasts in \$/mmBtu might fluctuate owing to FX shifts since we last published, as illustrated by the recent weakening of the Euro. Bal 3Q26 averages Aug26-Sep26 contracts. Bal 2026 averages Aug26-Dec26 contracts.

Source: ICE, Goldman Sachs Global Investment Research

Team Natural Gas

Samantha Dart
+1(212)357-9428
samantha.dart@gs.com
Goldman Sachs & Co. LLC

Laura Cyr
+1(212)902-3435
laura.x.cyr@gs.com
Goldman Sachs & Co. LLC

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Contributing Authors: Samantha Dart Goldman Sachs & Co. LLC, Laura Cyr Goldman Sachs & Co. LLC.

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